Hyundai Motor (005380 KS)

2Q26 review: setting the stage for margin recovery in 2H26

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BUY (Up)

Target price	W570,000 (Down)
Previous target price	W690,000
Current price (Jul 23)	W432,000
Upside potential	32%

Market cap (Wbn)	88,455
Shares outstanding	262,884,502
Avg daily T/O (2M, Wbn)	985
Avg daily volume (2M, shrs)	1,633,010
52-week high/low (won)	750,000 / 210,000
Foreign ownership (%)	25.15%
Dividend yield (%)	0.00%
Major shareholders	Hyundai Mobis & others

Stock performance

(%)	1M	3M	12M
Absolute	(15.5)	(18.8)	94.6
Relative	(2.3)	(25.9)	(12.7)
Abs (US$)	(11.3)	(18.0)	83.1

2Q26 revenue comes to W49tn and OP W2.85tn

Revenue growth was supported by a weaker Korean won and strong HEV sales. However, OP was weighed down by: 1) the reversal of forex gains due to a rise in the end-quarter exchange rate; 2) earnings pressure from disruptions to parts supply for high-margin models; and 3) higher per-unit incentives relative to ASP increases amid intensifying market competition (-W0.4tn).

Company-wide OPM improvement likely in 2H26: production normalization in 3Q and new-model effects in 4Q

In 3Q26, the resolution of parts supply issues should drive an QoQ improvement in automotive OPM. The company should also be able to reduce incentive spending by capitalizing on restocking demand. In 4Q26, automotive OPM should begin to improve in earnest as revenue contributions ramp up from new versions of key domestic models, including the Tucson and Avante, as well as the Genesis GV80 HEV and GV90. For 3Q26, the key will be the balance between QoQ earnings growth from production normalization and pressure on earnings from one-off costs related to wage negotiations. Meanwhile, the expected rise in automotive OPM in 4Q26 should provide a meaningful indication of company-wide profitability in 2027, when the new-model cycle is expected to gain full momentum.

Normalization of robotics valuation premium highlights appeal of preferred shares

The price premium of common shares over preferred shares surged to 170% in June when expectations for the robotics business peaked, but has since fallen to 110%. We believe now is the time to consider expectations for a new-business-driven valuation premium (upside driver for common share premium) and the overall risk-reward profile. Meanwhile, HoH earnings growth in 2H26 and recovering profitability in 2027 will likely highlight the appeal of preferred shares, which are expected to deliver an annual shareholder return of at least W16,000 (over 7.7% annual shareholder return yield based on the closing price of the Series 2B preferred shares).

Upgrade to BUY but revise down target price to W570,000

We maintain our view that the robotics-driven share price surge does not justify a high target P/E. In addition, given lingering uncertainties in the global finished vehicle market, we revise down our target P/E applied to the auto business under our SOTP valuation from 15x to 10x. Nevertheless, following the downgrade in our previous report, the share price has fallen sufficiently to restore meaningful upside potential.

Quarterly earnings

(Wbn)	2Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	49,215	1.9	7.1	48,600	1.3
OP	2,851	-20.8	13.4	2,994	-4.8
Pre-tax net profit	3,621	-17.4	2.8	3,762	-3.7
Net profit, CI	2,200	-26.6	-5.8	2,618	-16.0
OPM (%)	5.8	-1.7 %pt	+0.3 %pt	6.2	-0.4 %pt
NPM (%)	4.5	-1.7 %pt	-0.6 %pt	5.4	-0.9 %pt

Note: CI = controlling interest

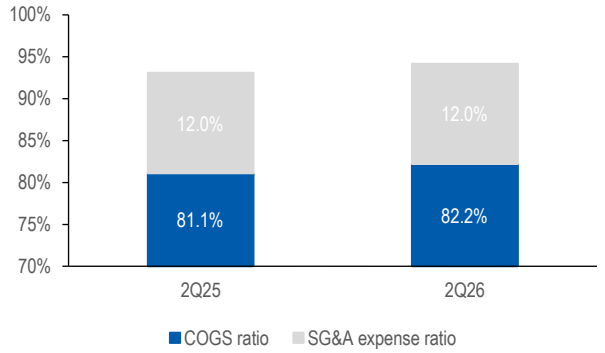
Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	175,231	186,254	195,079	205,904
OP	14,240	11,468	12,095	12,890
Net profit, CI	12,527	9,446	9,589	10,271
P/E (x)	4.2	4.6	9.5	8.9
P/B (x)	0.6	0.5	0.9	0.8
EV/EBITDA (x)	7.9	9.6	11.5	10.6
ROE (%)	12.4	8.4	8.0	7.9

Source: Yuanta Securities

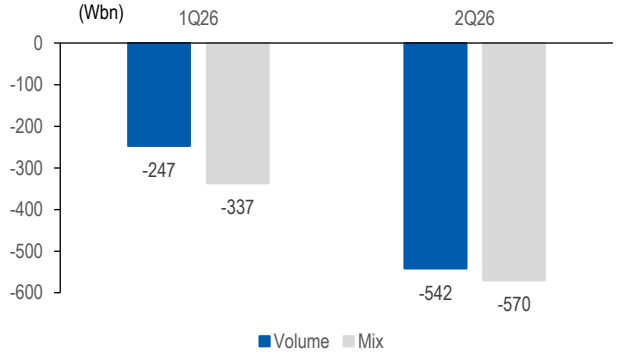
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YoY OPM decline mainly caused by higher COGS ratio



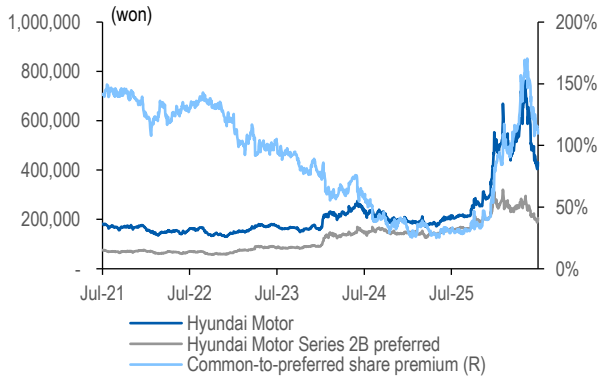
Source: company data, Yuanta Securities

1Q26 YoY profit decline: impact of production disruptions in high-margin models



Source: company data, Yuanta Securities

Gap between common and preferred shares narrowing amid normalized new business expectations



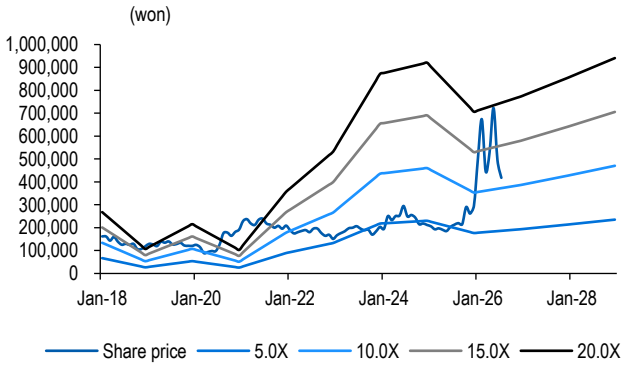
Source: Bloomberg, Yuanta Securities

Attractive shareholder return yield (minimum TSR) to expand on 2027E profit growth



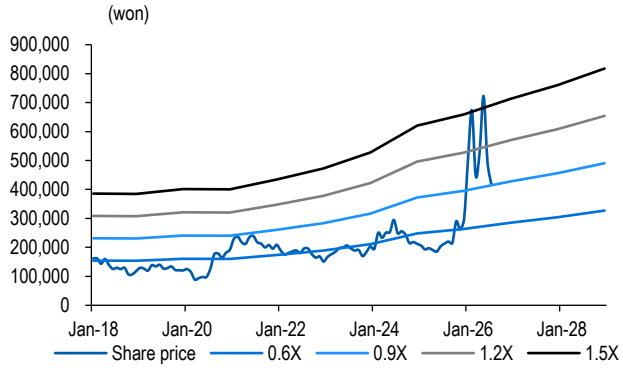
Source: company data, Yuanta Securities

Hyundai Motor: P/E band chart



Source: FnGuide Quantiwise, Yuanta Securities

Hyundai Motor: P/B band chart



Source: FnGuide Quantiwise, Yuanta Securities

Hyundai Motor: valuation and target price

Hyundai Motor	2026E
Automotive NOPAT (Wbn)	6,772
Target P/E (x)	10.0
Financial business NOPAT (Wbn)	2,070
Target P/E (x)	12.0
Other business NOPAT (Wbn)	230
Target P/E (x)	9.0
Total fair value of operations (Wbn)	**94,626**
Market value of its Kia stake (Wbn)	**20,393**
Discount rate	**30%**
Boston Dynamics fair value (Wbn)	50,000
Stake	28%
Discount rate	50%
Fair value based on BD stake (Wbn)	**6,961**
Fair market cap (Wbn)	115,862
Common shares outstanding (000 shares)	204,758
TP (won)	570,000

Source: Yuanta Securities

Hyundai Motor: quarterly and annual earnings forecasts

(Wbn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26P	3Q26E	4Q26E	2025	2026E	2027E
Sales	44,408	48,287	46,721	46,839	45,939	49,215	48,724	51,201	186,254	195,079	205,904
Automotive	34,718	37,609	36,715	36,590	34,538	36,832	37,399	39,310	145,632	148,079	158,504
Finance	7,398	8,214	7,189	7,432	8,991	9,504	8,906	9,399	30,233	36,800	37,000
Others & adj	2,292	2,464	2,818	2,817	2,409	2,879	2,419	2,493	10,390	10,200	10,400
OP	3,634	3,602	2,537	1,695	2,515	2,851	3,003	3,726	11,468	12,095	12,890
OPM	8.2%	7.5%	5.4%	3.6%	5.5%	5.8%	6.2%	7.3%	6.2%	6.2%	6.3%

Source: Bloomberg, Yuanta Securities

Hyundai Motor (005380 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**175,231**	**186,254**	**195,079**	**205,904**	**218,857**
Cost of sales	139,482	152,038	159,884	168,745	179,361
Gross profit	35,749	34,217	35,194	37,159	39,496
SG&A	21,510	22,749	23,099	24,269	24,269
Operating profit	**14,240**	**11,468**	**12,095**	**12,890**	**15,228**
EBITDA	18,527	16,484	17,738	19,019	20,586
Non-operating profit	3,542	2,374	2,123	2,340	2,447
Forex gains	295	28	0	0	0
Net interest income	529	328	321	359	465
Equity-method gains	3,114	2,510	2,294	2,474	2,474
Other	-396	-492	-492	-492	-492
Net prof before income tax	17,781	13,842	14,218	15,230	17,674
Income tax	4,232	3,477	3,697	3,960	4,544
Net profit from continuing ops	13,549	10,365	10,522	11,271	13,131
Net profit from discontinued ops	-319	0	0	0	0
Net profit	13,230	10,365	10,522	11,271	13,131
NP for controlling interest	**12,527**	**9,446**	**9,589**	**10,271**	**11,967**
Total comprehensive income	18,255	11,082	11,239	11,988	13,848
Total comprehensive income, CI	17,100	10,191	10,335	11,024	12,735

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**115,764**	**120,777**	**126,725**	**130,878**	**150,430**
Cash & cash equivalents	19,015	18,361	22,769	24,469	40,974
Accounts receivables & other	10,320	13,886	14,086	14,868	15,803
Inventory	19,791	20,662	21,641	22,842	24,278
Non-current assets	224,034	248,067	255,270	262,004	259,355
Tangible assets	44,534	48,750	53,038	56,579	52,587
Investment in affiliates	34,644	37,906	39,702	41,905	44,541
Other investment assets	83,160	86,355	86,404	86,465	86,537
Total assets	**339,798**	**368,845**	**381,995**	**392,882**	**409,785**
Current liabilities	79,510	88,579	90,197	91,771	94,764
Accounts payable & other	30,057	32,426	33,477	34,356	36,518
ST financial liabilities	9,327	10,388	10,388	10,388	10,388
Liquid LT liabilities	26,742	33,761	33,761	33,761	33,761
Non-current liabilities	140,013	152,617	154,212	152,839	154,202
LT financial liabilities	24,286	24,340	26,340	25,340	25,340
Debentures	96,134	106,900	105,900	104,900	104,900
Total liabilities	**219,522**	**241,197**	**244,409**	**244,610**	**248,966**
Equity, controlling interest	109,103	115,447	124,451	134,138	145,521
Paid-in capital	1,489	1,489	1,489	1,489	1,489
Capital surplus	7,656	7,780	7,780	7,780	7,780
Retained earnings	96,596	101,312	109,599	118,569	129,235
Equity, non-controlling interest	11,173	12,202	13,134	14,134	15,298
Total equity	**120,276**	**127,648**	**137,586**	**148,272**	**160,819**
Net debt	**75,951**	**94,204**	**90,629**	**86,695**	**69,799**
Total debt	158,128	176,770	177,789	175,812	175,840

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**-5,662**	**-5,991**	**3,589**	**4,335**	**5,643**
Net profit	13,230	10,365	10,522	11,271	13,131
Depreciation & amortization	3,398	3,745	4,212	4,559	3,992
Forex gains	-13	30	0	0	0
Affiliate investment gains	-3,113	-2,514	-2,294	-2,474	-2,474
Increase in net working cap	-35,160	-34,325	-31,611	-31,920	-31,701
Other	15,997	16,709	22,760	22,899	22,695
Investing cash flow	**-14,623**	**-10,347**	**-13,148**	**-13,236**	**-3,244**
Investment	-3,371	-2,879	-1,845	-2,264	-2,709
Increase in tangible assets	-8,061	-8,367	-8,500	-8,100	0
Decrease in tangible assets	172	246	0	0	0
Other	-3,362	652	-2,803	-2,873	-536
Financing cash flow	**19,493**	**15,425**	**15,718**	**12,722**	**14,727**
ST financial liabilities	582	929	19	23	28
Debenture/LT financial liabilities	31,507	17,695	1,000	-2,000	0
Equity	3,278	124	0	0	0
Cash dividend	-3,913	-3,689	-1,301	-1,301	-1,301
Other cash flow	-11,961	366	16,000	16,000	16,000
Consolidation adj and other	640	259	-1,751	-2,120	-620
Increase in cash & equivalents	**-152**	**-654**	**4,408**	**1,700**	**16,505**
Beginning cash & equivalents	19,167	19,015	18,361	22,769	24,469
Ending cash & equivalents	19,015	18,361	22,769	24,469	40,974
NOPLAT	14,240	11,468	**12,095**	**12,890**	**15,228**
FCF	**-13,723**	**-14,358**	**-4,911**	**-3,765**	**5,643**

Valuation

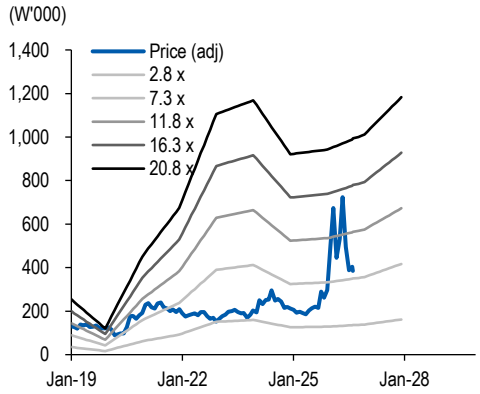
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	56,300	44,380	45,407	48,741	57,021
BPS (won)	413,568	443,519	478,113	515,329	559,059
EBITDA/shr (won)	68,094	61,656	66,839	71,665	77,568
SPS (won)	644,061	696,647	735,064	775,855	824,662
DPS (won)	12,000	5,000	5,000	5,000	5,000
P/E (x)	**4.2**	**4.6**	**9.5**	**8.9**	**7.6**
P/B (x)	**0.6**	**0.5**	**0.9**	**0.8**	**0.8**
EV/EBITDA (x)	**7.9**	**9.6**	**11.5**	**10.6**	**9.0**
P/S (x)	**0.4**	**0.3**	**0.6**	**0.6**	**0.5**

Key financial data

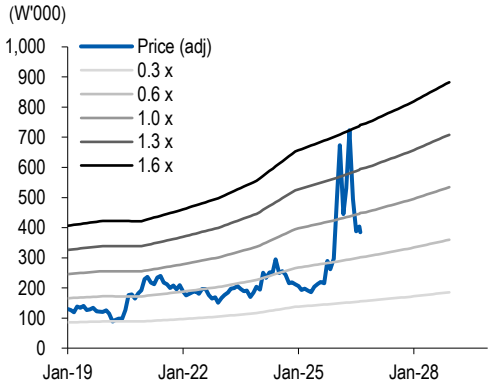
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**7.7**	**6.3**	**4.7**	**5.5**	**6.3**
Operating profit (%YoY)	**-5.9**	**-19.5**	**5.5**	**6.6**	**18.1**
Net profit, CI (%YoY)	**4.7**	**-24.6**	**1.5**	**7.1**	**16.5**
Gross margin (%)	20.4	18.4	18.0	18.0	18.0
Operating margin (%)	**8.1**	**6.2**	**6.2**	**6.3**	**7.0**
Net margin, CI (%)	7.1	5.1	4.9	5.0	5.5
EBITDA margin (%)	10.6	8.9	9.1	9.2	9.4
ROIC (%)	27.7	18.0	16.6	16.0	19.7
ROA (%)	4.0	2.7	2.6	2.7	3.0
ROE (%)	**12.4**	**8.4**	**8.0**	**7.9**	**8.6**
Debt-to-equity (%)	182.5	189.0	177.6	165.0	154.8
Net debt-to-equity (%)	69.6	81.6	72.8	64.6	48.0
OP/financing cost (x)	31.5	20.0	20.0	21.3	25.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

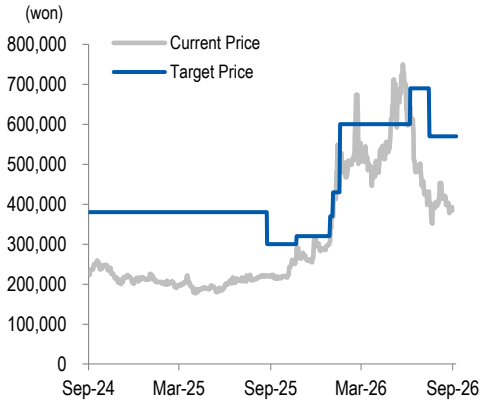
P/E band chart



P/B band chart



Hyundai Motor (005380 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/07/24	BUY	570,000	1 yr		
2026/06/16	HOLD	690,000	1 yr	-29.81	-10.43
2026/01/26	BUY	600,000	1 yr	-7.43	25.00
2026/01/12	BUY	430,000	1 yr	8.51	27.67
2026/01/06	BUY	370,000	1 yr	-4.77	-1.08
2025/10/31	BUY	320,000	1 yr	-12.47	-1.41
2025/09/02	BUY	300,000	1 yr	-23.76	-11.67
2025/09/01	BUY	380,000	1 yr		
2024/08/29	BUY	380,000	1 yr	-44.66	-31.84

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.7
HOLD	3.3
SELL	0
Total	100.0

Note: As of Sep 09, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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